Type MS · Scarcity, choice and opportunity cost

Answer 1 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 1 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

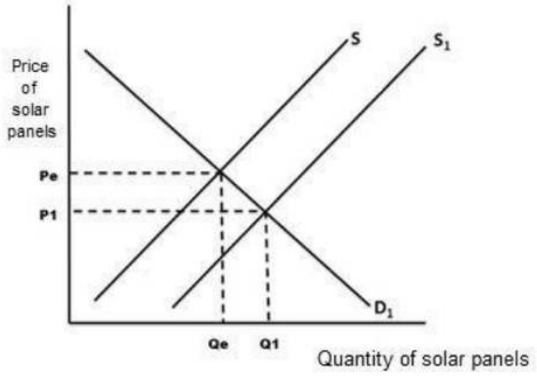
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 1 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 1 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 1 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**

Type MS · Scarcity, choice and opportunity cost

Answer 2 of 18 · Question 3 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **D** Increasing technological advancements	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Education	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 2 of 18 · Question 3 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. 0.85 x 95,000 **(1)** Award 1 mark for correct total revenue (TR). = $80 750 **(1)** Award 2 marks if TR is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**
Question number	**Answer**	**Mark**
3(d)	**AO1 1 mark** Inelastic **(1)** OFR applies e.g. if answer to 3(c) is less than $75 000, award 1 mark for elastic	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 2 of 18 · Question 3 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown in figure 3 due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 2 of 18 · Question 3 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
3(f)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • SAFTU has nearly 700,000 members and is the 2nd largest federation in South Africa meaning it could have a lot of influence on employers • SAFTU is a new trade union group and so may have new ideas with which to push for workers' rights • The higher wages may reduce the quantity of labour that firms can afford to employ, thus meaning fewer workers are employed in the industry but those remaining receive higher wages • The use of a quantity/wage of labour diagram **AO4** • However, the influence of trade unions has been decreasing all over the world • The effectiveness of the trade unions may depend on whether their power and influence is restricted by legislation • When wage rates increase, if productivity also rises, firms may not have to reduce the number of workers they employ due to higher labour costs • There isn't enough information in the data to know whether 700,000 is a large proportion of the workforce and therefore how influential they might be • How effective trade unions are in influencing the price and quantity of labour may depend on whether firms can pass on increased costs through increased prices or reduced profit margins

Type MS · Scarcity, choice and opportunity cost

Answer 2 of 18 · Question 3 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Scarcity, choice and opportunity cost

Answer 2 of 18 · Question 3 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

2(a)	**AO1 1 mark** **B** What to produce	 **(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **C** Y	 **(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. -12 ÷ 15 **(1)** Award 1 mark for correct price elasticity of demand (PED). = -0.8 **(1)** Award 1 mark if students show calculation and put 0.8 without the minus sign Award 2 marks if PED is correctly calculated, even if no calculations are shown Do not award marks for the formula	 **(2)**

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to an invention or new idea An idea which leads to a new product/process	 **(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for one correct factor: • a decrease in advertising • a decrease in income • an adverse change in taste and fashion • a decrease in price of substitute goods • an increase in price of complementary goods • a decrease in population Accept any other appropriate response	**(1)**

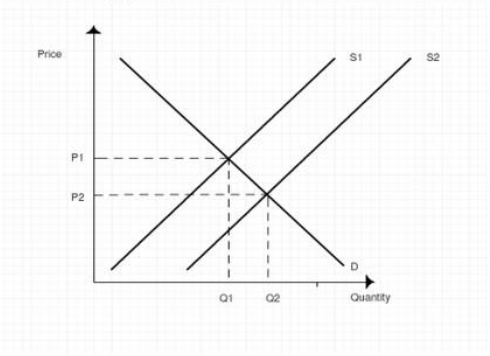
Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage • The large number of vehicles competing means there is a lot of choice **(1)** therefore it is easier for passengers to hire an auto rickshaw **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason for the difference in price Award 1 mark for developing the reason Award 1 mark for the response being in the context of transport in Dhaka • One reason is that there are likely to be fewer vehicles competing outside the city centre **(1)** because most of the 17 million people live in the city centre **(1)** and so there is less potential business for the drivers **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

uestion number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Without the changes in technology, more parking spaces are demanded than supplied and demand is increasing • The introduction of Automated Parking Systems (APS) increases the supply of spaces and so should shift the supply curve to the right • Changes in technology allow the gap between demand and supply to be reduced. • The change in supply will also affect the equilibrium price, making parking cheaper and more available • Thus reducing the shortage of car parking spaces • Possible use of diagram  **AO4** • The increase in the number of vehicles may be faster than the increase in the supply of car parking spaces meaning there is still a shortage • There is already such a large excess in demand that the introduction of APS will not make much difference • It is likely to take time from the initial decision to having the APS in place, meaning the supply curve may not shift straight away • Some motorists do not like change or worry the technology will fail and may be averse to the idea of automated parking, therefore not use the APS

Type MS · Scarcity, choice and opportunity cost

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Scarcity, choice and opportunity cost

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 4 of 18 · Question 1 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** **C** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** $4 500 profit	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to both the public and private sectors and 1 mark for reference to providing goods and services The public and private sectors **(1)** provide goods and services between them **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Retailer/Banker/Teacher Accept any other appropriate response	**(1)**

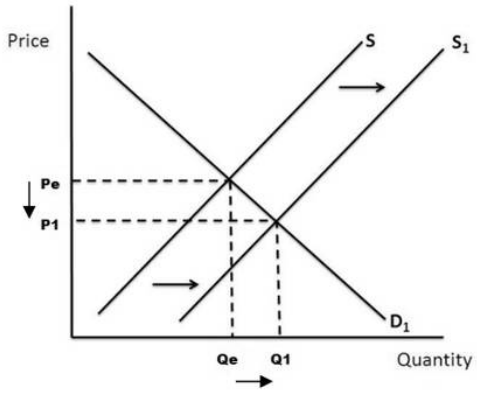
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A group with the authority to run a country or state Accept any other appropriate response	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 4 of 18 · Question 1 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 12 ÷ 5 **(1)** Award 1 mark for correct income elasticity of demand (YED) = 2.4 **(1)** Award 2 marks if YED is correctly calculated as 2.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 4 of 18 · Question 1 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to employ additional staff **(1)** it cannot buy the computer system and employ additional staff **(1)** because it does not have enough resources/money to fund both **(1)** Accept any other appropriate response.	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 4 of 18 · Question 1 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large producers • 87% of Dubai's shopping malls are owned by just five firms, meaning that the market is dominated by a few large producers • The shopping malls are differentiated by a variety of features such as an indoor ski slope and an indoor aquarium. Differentiation is a feature of an oligopoly • By offering something different the shopping malls are able to use non price competition to attract a share of the tourism sector that visits one of the busiest shopping destinations in the world • Sales are predicted to reach $71bn by 2021 making the owners of the shopping malls very dominant. This would create a barrier to entry, another feature of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 4 of 18 · Question 1 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 5 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** **C** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** $4 500 profit	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to both the public and private sectors and 1 mark for reference to providing goods and services The public and private sectors **(1)** provide goods and services between them **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Retailer/Banker/Teacher Accept any other appropriate response	**(1)**

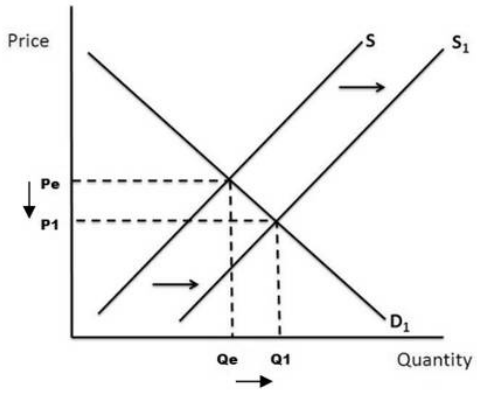
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A group with the authority to run a country or state Accept any other appropriate response	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 5 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 12 ÷ 5 **(1)** Award 1 mark for correct income elasticity of demand (YED) = 2.4 **(1)** Award 2 marks if YED is correctly calculated as 2.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 5 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to employ additional staff **(1)** it cannot buy the computer system and employ additional staff **(1)** because it does not have enough resources/money to fund both **(1)** Accept any other appropriate response.	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 5 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large producers • 87% of Dubai's shopping malls are owned by just five firms, meaning that the market is dominated by a few large producers • The shopping malls are differentiated by a variety of features such as an indoor ski slope and an indoor aquarium. Differentiation is a feature of an oligopoly • By offering something different the shopping malls are able to use non price competition to attract a share of the tourism sector that visits one of the busiest shopping destinations in the world • Sales are predicted to reach $71bn by 2021 making the owners of the shopping malls very dominant. This would create a barrier to entry, another feature of an oligopoly

Level	Mark	Descriptor
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Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 5 of 18 · Question 1 part h · 3 marks

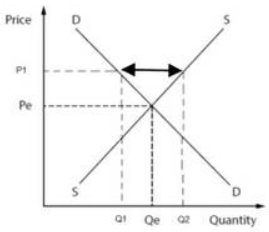
2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 6 of 18 · Question 2 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark**  **C**	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **D** Use of expensive technology	**(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 19 ÷ -10 **(1)** Award 1 mark for correct price elasticity of demand (PED) = -1.9 **(1)** Award 1 mark if students show calculation and put 1.9 without the minus sign Award 2 marks if PED is correctly calculated as -1.9, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 6 of 18 · Question 2 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition The end user/a person who makes a purchase for their own use Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the factor and 1 mark for development of the factor • The firm may be able to access more finance **(1)** therefore it can spend more on advertising **(1)** • The firm may wish to take over competitors **(1)** so it may gain more customers **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 6 of 18 · Question 2 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that consumers may have habits that are hard to give up **(1).** Products containing sugar can be habit forming **(1)** and so consumers may find it difficult to stop eating sugar even though they know it is bad for their health **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 6 of 18 · Question 2 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Over-harvesting sea cucumbers can prevent the marine animal from keeping the coral reef ecosystem healthy and so presents negative externalities • One method of government intervention to reduce negative externalities is the use of fines • In an attempt to reduce over-harvesting, the government fined the owner of Orient Seafood Production (OSP) $1.5m for failing to report harvests of 113,400 kg of sea cucumber in a two-year period • This should stop OSP from over-harvesting again in the future • This would act as a deterrent to other firms that may be considering over-harvesting **AO4** • However, it costs money and takes time to police over-harvesting and impose fines on illegal activity • OSP had already harvested 113 400 kg in two years before being fined, this could already have caused a great deal of damage to the coral reef ecosystem • OSP has already made high profits from over-harvesting and so the fine may not be enough of a deterrent • There is a growing demand in China and sales of sea cucumber are profitable so firms may think it is worth risking being caught and being fined • Other methods of government intervention may be more effective

Type MS · Scarcity, choice and opportunity cost

Answer 6 of 18 · Question 2 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Scarcity, choice and opportunity cost

Answer 6 of 18 · Question 2 part e · 1 mark

2020 JAN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

1(a)	**AO1 1 mark** **D** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **D** $750 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Building construction/Car production/Shipbuilding Accept any other appropriate response	**(1)**

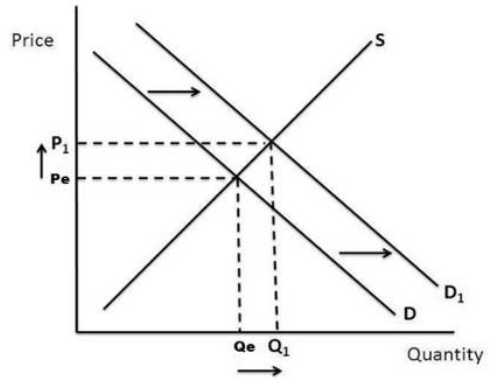
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The people used in the production of goods and services Accept any other appropriate response	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 7 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 10 ÷ 25 **(1)** Award 1 mark for correct income elasticity of demand (YED). = 0.4 **(1)** Award 2 marks if YED is correctly calculated as 0.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 7 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • The opportunity cost is a new school the government cannot build **(1)** it cannot build the school and the hospital **(1)** because it does not have the resources/money to fund both **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 7 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Question number	Indicative content		
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By matching fundraising of up to $1 000 per employee, McAfee would reduce the profits it can make • It is possible McAfee will attract positive publicity due to its fundraising match programme • This means that consumers may be more likely to buy computer software security from McAfee rather than its competitors • Staff may also be motivated by the programme so staff turnover may reduce/productivity may increase • Therefore McAfee could still make larger profits than if it did not run the programme • McAfee already has a revenue of over $2.5bn so may believe it can afford to be charitable		
Level	**Mark**	**Descriptor**	
	0	No rewardable material.	
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).	
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).	
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).	

Type MS · Scarcity, choice and opportunity cost

Answer 7 of 18 · Question 1 part h · 3 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

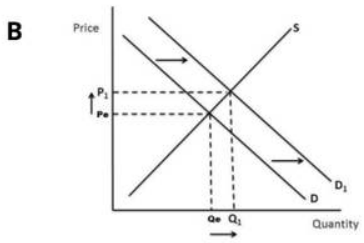
Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 8 of 18 · Question 1 part a · 1 mark

2020 NOV · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

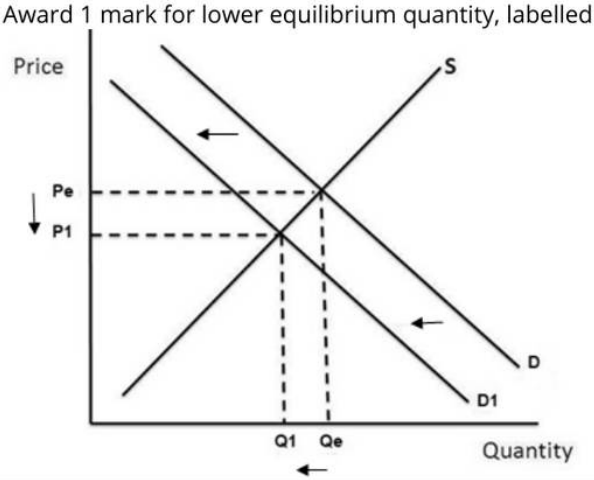
Type MS · Scarcity, choice and opportunity cost

Answer 8 of 18 · Question 1 part a · 1 mark

2020 NOV · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 8 of 18 · Question 1 part a · 1 mark

2020 NOV · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Beans are harvested from coffee plants which means that land is needed to produce coffee • The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest • The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour. • Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently

Type MS · Scarcity, choice and opportunity cost

Answer 8 of 18 · Question 1 part a · 1 mark

2020 NOV · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

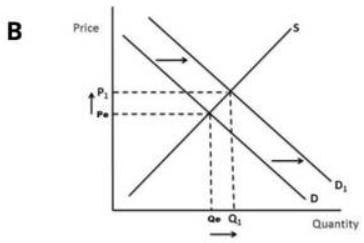
Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 9 of 18 · Question 1 part e · 1 mark

2020 NOV · Paper 01 · extract 1 of 4 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

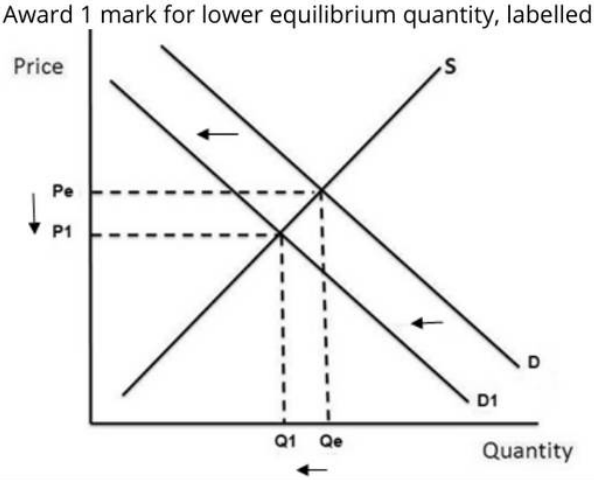
Type MS · Scarcity, choice and opportunity cost

Answer 9 of 18 · Question 1 part e · 1 mark

2020 NOV · Paper 01 · extract 2 of 4 · find part e in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 9 of 18 · Question 1 part e · 1 mark

2020 NOV · Paper 01 · extract 3 of 4 · find part e in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Beans are harvested from coffee plants which means that land is needed to produce coffee • The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest • The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour. • Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently

Type MS · Scarcity, choice and opportunity cost

Answer 9 of 18 · Question 1 part e · 1 mark

2020 NOV · Paper 01 · extract 4 of 4 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 10 of 18 · Question 1 part e · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** They may complete charitable work A is not correct because this would maximise their profit B is not correct because this may help to maximise their profit C is not correct because this alone does not determine profitability	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **B** A normal good A is not correct because it has nothing to do with YED C is not correct because the YED will be greater than 1 D is not correct because the YED will be negative	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to the amount of output and 1 mark for reference to the input The amount of output produced **(1)** in relation to the resources used **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 10 of 18 · Question 1 part e · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

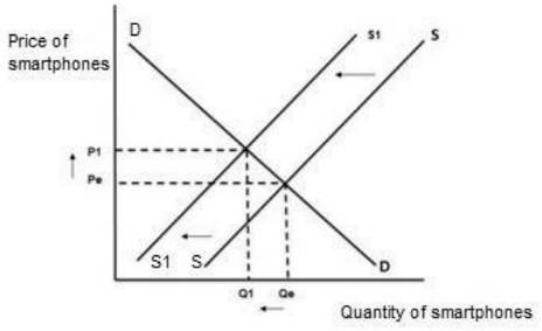
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that supplies goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 50 000 + (250 x 750) **(1)** Award 1 mark for correct total costs = $237 500 **(1)** Award 2 marks if total costs per month are correctly calculated as $237 500, even if no calculations are shown Award 1 mark if the answer given is 237 500, with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 10 of 18 · Question 1 part e · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled 	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • To protect consumer interests **(1)** because firms may charge higher than the 0.8% daily cap **(1)** causing financial harm to consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 10 of 18 · Question 1 part e · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale result in falling average costs due to expansion • Technical economies of scale occur when larger firms can make better use of machinery than smaller ones • As Cutting Edge attracted more customers, it received more work that may require use of a powerful saw • This means it was cost-effective to purchase the equipment because the resource could be used a lot more than when Cutting Edge was only asked to cut through a small number of trees • This is because the price of the powerful saw can be spread between more gardening jobs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 10 of 18 · Question 1 part e · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 11 of 18 · Question 2 part f · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increase in female participation A is not correct because this would lead to a decrease in the supply of labour B is not correct because this would lead to a decrease in the supply of labour D is not correct because this would lead to a decrease in the supply of labour	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** Niche A is not correct because this is where there is one dominant seller in the market B is not correct because this relates to the demand and supply of labour D is not correct because this does not relate to manufacturing to customer requirements	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 11 of 18 · Question 2 part f · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 000 + $115 000 (1) Award 1 mark for correct total variable costs = $127 000 (1) Award 2 marks if total variable costs are correctly calculated as $127 000, even if no calculations are shown Award 1 mark if the answer given is 127 000 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition Lowest legal amount paid to employees Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason There are finite/limited resources **(1)** therefore demand for resources is greater than the supply of them **(1)** Accept any other appropriate response.	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 11 of 18 · Question 2 part f · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price decrease would increase quantity demanded **(1)**. A decrease from $2.32 to $2.22 results in more units **(1)** because it becomes more competitive compared to substitutes **(1)** • A price increase would decrease quantity demanded **(1)**. An increase from $2.32 to $2.42 results in fewer units **(1)** because there would be a movement along the demand curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 11 of 18 · Question 2 part f · 2 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • An oligopoly is where there are a few dominant firms, such as Vodacom, Airtel and Tigo (which have 86% of the market between them) • As a result of their dominance, these firms may be able to benefit from economies of scale and therefore enjoy lower average costs. They may pass these lower costs on to consumers in the form of lower prices • Firms like Vodacom may also be able to afford to use profits for research and development (R&D) which may lead to a better quality telecoms services for consumers • The firms in the telecoms oligopoly may try to compete in price wars and keeping prices low would benefit the consumer • They may also offer additional services to consumers who have subscribed to their networks in an attempt to gain market share from competitors **AO4** • However, if the telecoms firms have high costs due to competing via non-price competition such as advertising, they may not be able to offer low prices to consumers • Such costs may also lead to fewer firms in the market. For example Smart Telecoms had to leave the market because it could not compete with the larger firms • This would mean there are fewer firms left to compete for market share and therefore there would be less choice available for consumers • Even the successful small firms run the risk of being taken over or crowded out by dominant telecoms providers. This may be the case with the merger between Tigo and Zantel • This may increase the barriers to entry as it will be difficult for new firms to enter the market to compete with the successful, dominant firms, meaning even less choice for consumers • The firms in the oligopoly may collude in order to restrict choice and/or price competition, again causing a disadvantage to consumers

Type MS · Scarcity, choice and opportunity cost

Answer 11 of 18 · Question 2 part f · 2 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Scarcity, choice and opportunity cost

Answer 11 of 18 · Question 2 part f · 2 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 12 of 18 · Question 3 part a · 1 mark

2023 JAN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

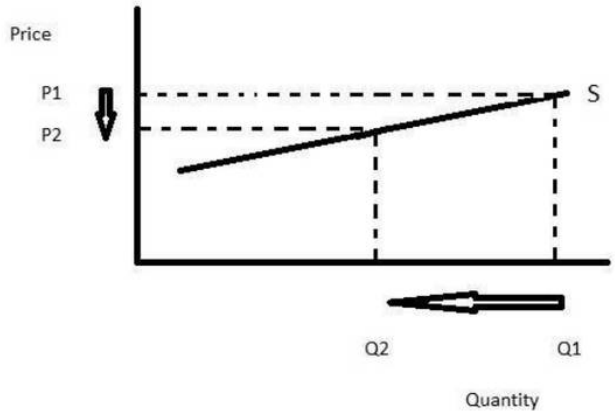
3(a)	**AO1 1 mark** The only correct answer is: **C** Shelter A is not correct because this is an economic want B is not correct because this is a luxury D is not correct because this is not required to sustain life	**(1)**

Question number	Which one of the following is an example of an external benefit? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Education B is not correct because this is an external cost C is not correct because this is regarded as a disadvantage D is not correct because it has a negative impact on the future	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 12 of 18 · Question 3 part a · 1 mark

2023 JAN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P1 to P2 and its impact on quantity from Q1 to Q2 . **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing elastic supply curve, labelled Award 1 mark for showing smaller price change from P_1 to P_2 on the axis Award 1 mark for showing a greater change in the quantity Q_1 to Q_2 on the axis  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 12 of 18 · Question 3 part a · 1 mark

2023 JAN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

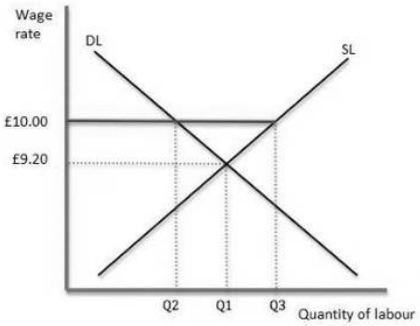
Question number	With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Without the government intervention of the flood defence system, the River Calder flooding may continue, causing firms to shut down, residents to lose their homes and an increase in damaged infrastructure • The UK Government made the £32m investment in a flood defence scheme because residents, businesses and infrastructure in Calderdale had repeatedly suffered from flood damage • The UK Government is likely to provide goods and services that the private sector would be unwilling to provide because of the lack of profit • Flood defences in Calderdale are an example of market failure because the private sector is unlikely to provide resources needed to manage the problem in sufficient quantities • Flood defences are an example of public goods that are provided by the government and have characteristics of being non-rivalry and non-excludable • Failure to provide flood defences would increase the need for individuals and firms to rely on the UK Government financially

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 12 of 18 · Question 3 part a · 1 mark

2023 JAN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the impact of trade union activity on Morrisons and its employees. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A trade union is an organisation which represents the employees in an industry • It aims to protect workers' rights, increase wages, provide legal assistance, put pressure on governments to legislate in favour of employees and improve working conditions • Trade union, Usdaw negotiated an hourly wage increase for the 110,000 workers at Morrisons supermarkets of nearly 9% • An increase in the wage rate may lead to inefficiency and unemployment • This is because the wage increase at the supermarket will mean higher costs for the firm. It may therefore, try to reduce costs by employing fewer workers • Possible use of a diagram  **AO4** • However, the wage rate increase of at least £0.80 per hour may increase productivity • This means Morrisons may be able to maintain the number of workers it employs because, increased productivity would not result in higher costs due to the wage increase • As Morrisons is a leading supermarket, it may be able to pass some of the higher wage rate costs on to consumers in the form of increased prices • This may depend whether the products sold are price inelastic in demand

Type MS · Scarcity, choice and opportunity cost

Answer 12 of 18 · Question 3 part a · 1 mark

2023 JAN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Scarcity, choice and opportunity cost

Answer 12 of 18 · Question 3 part a · 1 mark

2023 JAN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	When the current level of output is 250 units of consumer goods, calculate the opportunity cost of producing an additional 40 units of consumer goods. You are advised to show your working. **Answer**	**Mark**

Type MS · Scarcity, choice and opportunity cost

Answer 13 of 18 · Question 2 part c · 2 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** 250 units A is not correct because labour productivity is measured in units B is not correct because this would be a multiplication instead of a division calculation and the wrong units are used D is not correct because this would be a multiplication instead of a division calculation	**(1)**

Question number	Which **one** of the following is a possible cause of positive economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **D** Increasing technological advancements A is not correct because this would reduce demand for goods and services, therefore reducing economic growth B is not correct because this would be more likely to reduce economic growth C is not correct because increasing unemployment would lead to fewer resources being utilised	**(1)**

Question number	What is meant by the term opportunity cost? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The cost of the next best alternative **(1)** given up (when making a choice) **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 13 of 18 · Question 2 part c · 2 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Calculate the **total fixed costs** for the firm in March. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 20 250 + 5 125 **(1)** Award 1 mark for calculating correct total fixed costs = 25 375 Tk **(1)** Award 2 marks if total fixed costs are correctly calculated as 25 375 Tk, even if no calculations are shown Award 1 mark if total fixed costs are calculated as 25 375, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe **one** reason why an entrepreneur is a factor of production. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • An entrepreneur comes up with a business idea/takes a risk **(1)** therefore it is classed as enterprise **(1)** • An entrepreneur manages the other factors of production **(1)** in order to make goods/services **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 13 of 18 · Question 2 part c · 2 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	Explain **one** advantage for firms of an increase in the retirement age. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Firms will be able to retain their skilled workers **(1)** because workers will not be able to access their pension until the age of at least 57 **(1)** reducing the cost of recruitment and training **(1)** • Supply of labour may increase **(1)** because people may need to continue working for another two years **(1)** thus reducing the price of labour/wage rate for firms Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 13 of 18 · Question 2 part c · 2 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effectiveness of the tourist tax in dealing with negative externalities, such as overcrowding. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Overcrowding in Venice may cause pollution, litter and congestion issues for residents and other visitors • One method of government intervention to reduce negative externalities is the use of taxation • A tourist tax is a compulsory financial charge made by the government on individuals • A tourist tax would make it more expensive to visit Venice • Therefore, it is likely to reduce the number of tourists in Venice from the estimated 24 million who visit each year • The higher the tourist tax, the fewer tourists there are likely to be, meaning at its highest charge of €10, the reduction should be greatest • As a result, the negative externality, such as overcrowding, may be reduced **AO4** • However, as Venice is so popular, some tourists may decide it is worth paying the tourist tax • This may especially be the case at the lower rates of tourist tax, where a tourist may not consider €3 unaffordable compared to the price of their trip • It takes time to collect the tourist tax, meaning there may be more congestion when people arrive in Venice • Even a reduction in numbers may not be enough to deal with the externalities caused by the high number of visitors each year • Those visitors who are prepared to pay the tourist tax will be generating revenue for the city which may be used to help combat the externalities in other ways • Other methods of government intervention may be more effective

Type MS · Scarcity, choice and opportunity cost

Answer 13 of 18 · Question 2 part c · 2 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Scarcity, choice and opportunity cost

Answer 13 of 18 · Question 2 part c · 2 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Which **one** of the following is a reason why a firm may decide to stay small? **Answer**	Mark

Type MS · Scarcity, choice and opportunity cost

Answer 14 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** 0 B is not correct because this is price inelastic supply C is not correct because supply is unitary price elasticity D is not correct because this is price elastic supply	**(1)**

Question number	Which **one** of the following is the most likely type of government policy to produce this decrease in costs? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** Increased subsidy A is not correct because this would not lower total costs B is not correct because this would be more likely to increase total costs D is not correct because increased taxation would increase total costs	**(1)**

Question number	What is meant by the term private sector? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Firms owned by individuals or groups **(1)** that provide goods/ services **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 14 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	State **one** factor that may affect the supply of labour. **Answer**	**Mark**
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Population • Migration • Retirement age • School-leaving age • Age distribution of population • Female participation • Skills and qualifications • Ability to move geographic locations • Ability to move to different types of employment Accept any other appropriate response	**(1)**

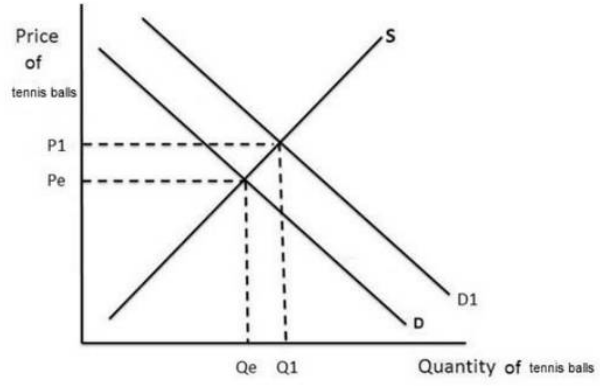
Question number	Define the term government. **Answer**	**Mark**
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • A group with the authority to run a country/state Accept any other appropriate response	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 14 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.7% ÷ 6.2% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 0.27 **(1)** Award 2 marks if YED is correctly calculated as 0.27, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 14 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	Explain **one** possible opportunity cost for the firm of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to buy new machinery **(1)** because it does not have enough money to buy both **(1)** so it has to sacrifice the new machinery when buying the delivery vehicle **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 14 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By offering a free lunch to children during the school holiday Jags will reduce the profit made by the café • Due to the rising cost of living, customers in the small town may be more likely to visit Jags' café to benefit from a free lunch • Therefore, having aims which prioritise caring for customers may be beneficial to the café's revenue as well • It is possible Jags will attract positive publicity for her café by offering the free meals and enhance her reputation

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 14 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess demand? **Answer**	**Mark**

Type MS · Scarcity, choice and opportunity cost

Answer 15 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** 0 B is not correct because this is price inelastic supply C is not correct because supply is unitary price elasticity D is not correct because this is price elastic supply	**(1)**

Question number	Which **one** of the following is the most likely type of government policy to produce this decrease in costs? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** Increased subsidy A is not correct because this would not lower total costs B is not correct because this would be more likely to increase total costs D is not correct because increased taxation would increase total costs	**(1)**

Question number	What is meant by the term private sector? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Firms owned by individuals or groups **(1)** that provide goods/ services **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 15 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part h in this mark scheme extract

Question number	State **one** factor that may affect the supply of labour. **Answer**	**Mark**
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Population • Migration • Retirement age • School-leaving age • Age distribution of population • Female participation • Skills and qualifications • Ability to move geographic locations • Ability to move to different types of employment Accept any other appropriate response	**(1)**

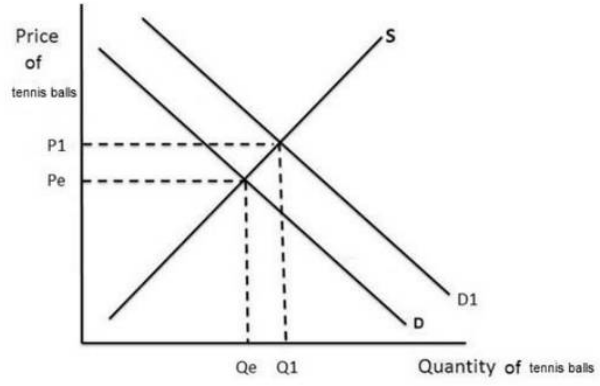
Question number	Define the term government. **Answer**	**Mark**
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • A group with the authority to run a country/state Accept any other appropriate response	**(1)**

Type MS · Scarcity, choice and opportunity cost

Answer 15 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part h in this mark scheme extract

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.7% ÷ 6.2% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 0.27 **(1)** Award 2 marks if YED is correctly calculated as 0.27, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 15 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part h in this mark scheme extract

Question number	Explain **one** possible opportunity cost for the firm of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to buy new machinery **(1)** because it does not have enough money to buy both **(1)** so it has to sacrifice the new machinery when buying the delivery vehicle **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 15 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By offering a free lunch to children during the school holiday Jags will reduce the profit made by the café • Due to the rising cost of living, customers in the small town may be more likely to visit Jags' café to benefit from a free lunch • Therefore, having aims which prioritise caring for customers may be beneficial to the café's revenue as well • It is possible Jags will attract positive publicity for her café by offering the free meals and enhance her reputation

Level	Mark	Descriptor
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Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 15 of 18 · Question 1 part h · 3 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part h in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess demand? **Answer**	**Mark**

Type MS · Scarcity, choice and opportunity cost

Answer 16 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 16 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

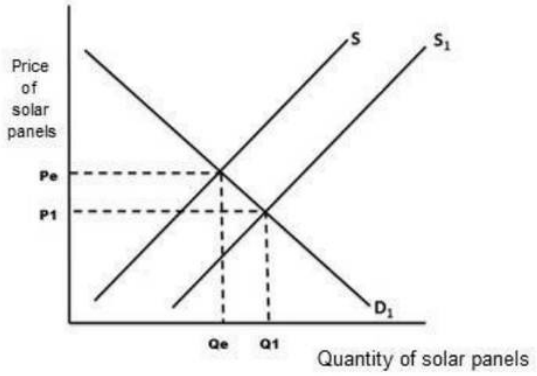
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 16 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 16 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
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Type MS · Scarcity, choice and opportunity cost

Answer 16 of 18 · Question 1 part e · 1 mark

2024 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

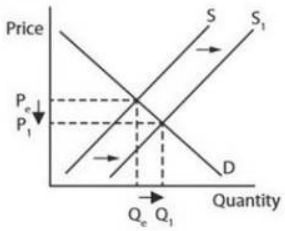
Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**

Type MS · Scarcity, choice and opportunity cost

Answer 17 of 18 · Question 1 part a · 1 mark

2024 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 17 of 18 · Question 1 part a · 1 mark

2024 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

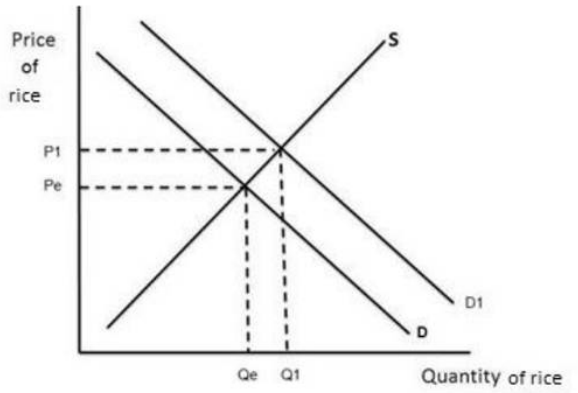
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 17 of 18 · Question 1 part a · 1 mark

2024 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · Scarcity, choice and opportunity cost

Answer 17 of 18 · Question 1 part a · 1 mark

2024 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 17 of 18 · Question 1 part a · 1 mark

2024 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

1(a)	**AO1 1 mark** The only correct answer is: **B** Consumers aim to maximise benefits A is not correct because firms often aim to maximise profit C is not correct because consumers are giving up the products D is not correct because these consumers would be calculating benefits	**(1)**

Question number	Which **one** of the following best describes the product? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** An inferior good A is not correct because YED does not determine whether a good is a public good B is not correct because the YED would be positive C is not correct because the YED would be positive and greater than 1	**(1)**

Question number	What is meant by the term productivity? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of output produced **(1)** in relation to the resources used/time period **(1)**	

Type MS · Scarcity, choice and opportunity cost

Answer 18 of 18 · Question 1 part e · 1 mark

2025 JUN · Paper 01 · extract 2 of 7 · find part e in this mark scheme extract

	Accept any other appropriate response	**(2)**

Type MS · Scarcity, choice and opportunity cost

Answer 18 of 18 · Question 1 part e · 1 mark

2025 JUN · Paper 01 · extract 3 of 7 · find part e in this mark scheme extract

Question number	State the formula for social costs. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs Accept any other appropriate response	**(1)**

Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that creates/makes goods and/or services Accept any other appropriate response	**(1)**

Question number	Calculate the **total costs per month** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €37 000 + (€170 x 650) **(1)** Award 1 mark for calculating correct total costs = €147 500 **(1)** Award 2 marks if total costs per month are correctly calculated as €147 500 even if no calculations are shown Award 1 mark if the answer given is 147 500, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Scarcity, choice and opportunity cost

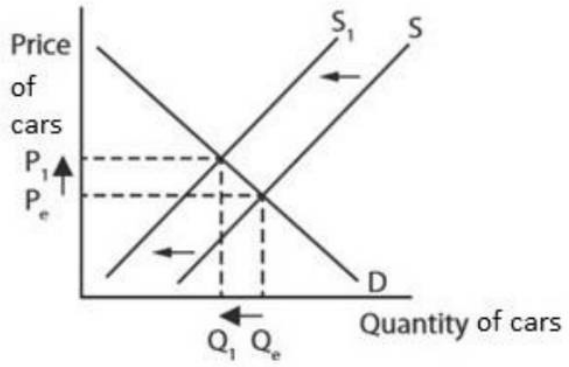
Answer 18 of 18 · Question 1 part e · 1 mark

2025 JUN · Paper 01 · extract 4 of 7 · find part e in this mark scheme extract

Type MS · Scarcity, choice and opportunity cost

Answer 18 of 18 · Question 1 part e · 1 mark

2025 JUN · Paper 01 · extract 5 of 7 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	(3)

Question number	Explain **one** reason why the CMA may have made this decision. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In order to prevent monopoly power **(1)** and so promote competition **(1)** as a firm with over 60% of the market may be less likely to innovate **(1)** Accept any other appropriate response	(3)

Type MS · Scarcity, choice and opportunity cost

Answer 18 of 18 · Question 1 part e · 1 mark

2025 JUN · Paper 01 · extract 6 of 7 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When an industry needs labour to create a good/service, the demand for labour is a derived demand • This is because the good/service cannot be produced without labour • Therefore, woodcutters are needed to cut the wood with which to make the furniture (the final product) • An increase in demand for furniture made of wood by 5% is likely to lead to an increase in the demand for woodcutters • This is because the greater the demand for a good or service, the greater the demand for labour is likely to be

Level	**Mark**	**Descriptor**
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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Scarcity, choice and opportunity cost

Answer 18 of 18 · Question 1 part e · 1 mark

2025 JUN · Paper 01 · extract 7 of 7 · find part e in this mark scheme extract

Question number	Which **one** of the following options shows unobtainable production? **Answer**	**Mark**